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Country-by-Country Reporting and the Effective Tax Rate: How Effective Is the Effective Tax Rate in Detecting Tax Avoidance in Country-by-Country Reports?

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A low effective tax rate in combination with a high profit can be an important indicator of possible tax avoidance. In this article, we will discuss the limitations of the definitions of two columns in the country-by-country report, namely 'profit (loss) before income tax' and 'income tax accrued – current year'. We will conclude that the effective tax rate calculated based on the country-by-country report can not be accurately used in high level risk analyses.

1 Introduction

In recent years, tax avoidance has increasingly made the news and aroused a great deal of political and public indignation. An example is the recent publication by The Greens/EFA Group in the European Parliament[1] stating that the unweighted average of twenty-eight EU countries' effective tax rates amounts to 15%, whereas the average statutory rate is 23%. The report concludes that '*many MNEs do not pay much tax in many countries*'. In addition, studies have shown that a small number of 'profit-haven' jurisdictions are seen to have captured a disproportionate share of total profits.[2] The figures as published by the International Revenue Service (hereinafter: IRS)[3] based on the country-by-country reports filed by US companies for the reporting year 2016 show, for example, that in Bermuda, a total profit of USD 24.9 billion was reported at a total workforce of 551. This means that a profit per employee of over EUR 45 million was generated in Bermuda.[4]

As multinational enterprises (hereinafter: MNEs) can use international structures, they can erode their tax bases (Base Erosion) or shift their profits to low-tax countries (Profit Shifting).[5] This leads to unfair competition between international and national companies.[6] That was one of the reasons why, in September 2013, the leaders of the G20, in cooperation with the Organisation for Economic Co-operation and Development (hereinafter: OECD), set up the Base Erosion and Profit Shifting (hereinafter: BEPS) project. One of the results of the project was Action 13 on Country-by-Country Reporting (hereinafter: CbCR).[7]

Under BEPS Action 13, all large multinational enterprises with a consolidated group revenue of at least EUR 750 million are required to prepare a country-by-country report with aggregate data on the global allocation of income, profit, taxes paid and economic activity among tax jurisdictions in which they operate. This country-by-country report is shared with tax

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1 P. Janský, *Effective Tax Rates of Multinational Enterprises in the EU*, The Greens/EFA Group in the European Parliament (22 Jan. 2019).

2 A. Cobham & P. Janský, *Measuring Misalignment: The Location of US Multinationals' Economic Activity Versus the Location of Their Profits*, 37 Dev. Pol'y Rev. 91–110 (2019).

3 IRS, *SOI Tax Stats – Country by Country Report*, Table 1A: Country-by-Country Report (Form 8975): Tax Jurisdiction Information (Schedule A: Part I) by Major Geographic Region and Selected Tax Jurisdiction, Tax Year 2016, document: 16it01acbc.xlsx, https://www.irs.gov/statistics/soi-tax-stats-country-by-country-report (accessed 15 July 2019).

4 The IRS statistics show that 229 of the 1,093 US companies that filed a country-by-country report with the IRS are active in Bermuda. Those companies jointly reported a profit in the amount of USD 24,900,464,463 in Bermuda.

5 In this respect, *see* M. T. Evers, I. Meier & C. Spengel, *Transparency in Financial Reporting: Is Country-by-Country Reporting Suitable to Combat International Profit Shifting?*, 68(6/7) Bull. for Int'l Tax'n (2014); C. Fuest, C. Spengel, K. Finke, J. Heckemeyer & H. Nusser, *Profit Shifting and 'Aggressive' Tax Planning by Multinational Firms: Issues and Options for Reform*, ZEW – Centre for European Economic Research Discussion Paper No. 13–078 (2013).

6 OECD, *Addressing Base Erosion and Profit Shifting* 8 (OECD Publishing 2013), http://dx.doi.org/10.1787/9789264192744-en (accessed 15 July 2019).

7 OECD, *Transfer Pricing Documentation and Country-by-Country Reporting*, Action 13–2015 Final Report, OECD/G20 Base Erosion and Profit Shifting Project (OECD Publishing 2015).

administrations[8] in these jurisdictions, for use in high level transfer pricing and BEPS risk assessments.[9] The information in this report will reduce the information asymmetry between companies and tax authorities.[10]

BEPS Action 11[11] describes six indicators of 'BEPS', including high profitability in relation to a low effective tax rate (hereinafter: ETR). The OECD writes in this respect: '*where BEPS is present, it may be expected that the profit rate (e.g. profit before tax/total assets or profit before tax/total employees) will be higher in jurisdictions where an MNE group has a lower effective tax rate compared with jurisdictions where the MNE group has a higher effective tax rate.*'[12] The OECD Handbook on Effective Tax Risk Assessment works out various possible risks as well, in which a low ETR, in combination with a high profit, is considered a risk indicator.[13]

Since the ETR is an important indicator for detecting possible tax avoidance, this article will discuss in further detail the definitions of 'profit (loss) before income tax' and 'income tax accrued – current year' (hereinafter: 'income tax accrued') in the country-by-country report, as the effective tax rate is determined by the 'income tax accrued'/'profit (loss) before income tax' ratio.

The OECD is currently in the process of evaluating BEPS Action 13.[14] Furthermore, there is a trend towards more and more public country-by-country reporting, which only increases the importance of the definitions used with a view to comparability. Therefore, we feel that there is more than sufficient reason for a further critical analysis of the definitions of 'profit (loss) before income tax' and 'income tax accrued' and the ETR to be derived from those factors. The issues and proposals for improvement identified by us may be taken into account when evaluating BEPS Action 13 in 2020.

In section 2, we will set out the reason and the legal underpinning of CbCR and go into the country-by-country report in more detail. In section 3, we will give a more detailed explanation of the terms 'profit (loss) before income tax' and 'income tax accrued'. In section 4, we will further address the ETR, from the perspective of both the International Financial Reporting Standards (hereinafter: IFRS) and BEPS Action 13. Subsequently, in section 5, we will discuss the ETR in relation to the detection of possible tax avoidance. Finally, in section 6, we will give our conclusions and proposals for adjustment.

2 Country-by-country reporting

2.1 *Reason and Objective of Country-by-Country Reporting*

Aggressive tax planning efforts of highly profitable multinational companies have been the subject of intense public debate the last couple of years. The OECD estimates that the global corporate income tax (hereinafter: CIT) revenue losses could be between 4% and 10% of global CIT revenues.[15] According to the OECD there are several causes, including aggressive tax planning, lack of transparency and limited country enforcement resources.

In September 2013, the leaders of the G20, in cooperation with the OECD, set up the BEPS project. The '*Action Plan on Base Erosion and Profit Shifting*' comprises 15 Actions. Action 13 '*Transfer Pricing Documentation and Country-by-Country Reporting*' proposes the development of rules that may enhance the improvement and standardization of transfer pricing documentation. As part of this, the master file, the local file, and the country-by-country report – the 'three-tiered standardised approach' – were introduced. This documentation allows jurisdictions to ascertain the economic activity of multinationals beyond each country's own territorial limits, regardless of each country's individual political power.[16] The OECD writes that this documentation obligation '*(…) will require taxpayers to articulate consistent transfer pricing positions and will provide tax administrations with useful information to assess transfer pricing risks, make determinations about where audit resources can most effectively be deployed, and, in the event audits are called for, provide information to commence and target audit enquiries.*'[17] This article will not discuss the master file and the local file in further detail.[18]

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8 Under certain conditions, in addition to ultimate parent filing, there may also be surrogate parent filing and/or local filing. For a further explanation of this subject, we refer to L. G. C. Sahin, *Country-by-Country Reporting – neem bewuste keuzes*, Maandblad Belasting Beschouwingen 5 (2017) and N. A. Th. Smetsers, *Country-by-Country Reporting*, Fiscale Monografieen no. 154 (Wolters Kluwer 2018).

9 OECD, *OECD Transfer Pricing Guidelines for Multinational Enterprises and Tax Administrations* (OECD Publishing 2017), para. 5.25.

10 In this respect, *see* S. A. Stevens, *The Duty of Countries and Enterprises to Pay Their Fair Share*, 42(11) Intertax 702–708 (2014).

11 OECD, *Measuring and Monitoring BEPS, Action 11–2015 Final Report*, OECD/G20 Base Erosion and Profit Shifting Project (OECD Publishing 2015).

12 OECD, *Country-by-Country Reporting: Handbook on Effective Tax Risk Assessment* 10–11 (OECD Publishing 2017).

13 *Ibid.*, at 10.

14 The BEPS Action 13 report already stated that '*it is mandated that countries participating in the BEPS project will carefully review the implementation of these new standards and will reassess no later than the end of 2020 whether modifications to the content of these reports should be made to require reporting of additional or different data.*' OECD, *supra* n. 7, at 10.

15 OECD, *Explanatory Statement*, OECD/G20 Base Erosion and Profit Shifting Project (OECD Publishing 2015).

16 Y. Brauner, *Transfer Pricing in BEPS: First Round – Business Interests Win (But, Not in Knock-Out)*,43(1) Intertax 72–84 (2015).

17 OECD, *supra* n. 7, at 9.

18 For a further explanation of the master and local file, we refer to Ch. 5 of the OECD Transfer Pricing Guidelines, *supra* n. 9.

The country-by-country report has been made compulsory only for multinational enterprises with a group turnover of EUR 750 million or more. The OECD has calculated that this would cover approximately 90% of the global turnover of all multinational enterprises, whereas some 10–15% of multinational enterprises are required to prepare such a report.[19]

2.2 *Directive (EU) 2016/881 (DAC 4)*

Following on from the OECD, the EU has recognized the importance of the country-by-country report in combating tax avoidance. In Directive (EU) 2016/881[20] (hereinafter: DAC 4), the EU made the preparation and automatic exchange of country-by-country reports among EU Member States mandatory. Based on the original Directive (EU) 2011/16, the automatic exchange of certain information among EU Member States (such as cross-border rulings) was already mandatory. DAC 4 has now expanded the scope of the mandatory automatic exchange of information to country-by-country reports. DAC 4 is nearly identical to the model legislation as included in the final report drawn up by the OECD in 2015 on Action 13. Recital 17 to the Directive provides that, in implementing the Directive, Member States should use the 2015 Final Report of the OECD/G20 as a source of illustration or interpretation for this Directive.

2.3 *Public Country-by-Country Reporting*

Relevant in this respect is the fact that, on 12 April 2016, the European Commission submitted a proposal to amend Directive (EU) 2013/34, which should lead to (a form of) public CbCR.[21] There is, however, no unanimity among the European Member States at this point to actually implement that proposal.

Also relevant in this respect are Directive 2013/34 and the EU Capital Requirements Directive IV, requiring European businesses in the extractive industry and financial institutions respectively, to include some form of CbCR in their financial statements. While Directive 2013/34 does not prescribe the presentation of country-specific profits and tax payments, the EU Capital Requirements Directive IV does stipulate that companies must disclose country-specific revenues, profit and tax payments.

Apart from the question as to whether public CbCR will become mandatory in the future, businesses may also voluntarily choose to disclose for example the profit and the amount of tax paid by them in each country where they are active, in their financial statements. Recently, during a public hearing, Shell announced that it would voluntarily engage in public CbCR.[22] In addition, the Global Reporting Initiative (GRI) has prepared an exposure draft on Tax and Payments to Governments.[23] This draft standard proposes to include an extensive country-by-country report in the annual report. The GRI Standards distinguish between requirements, recommendations and guidance. The draft standard includes CbCR as a requirement. Requirements are mandatory instructions. Requirements are to be read in the context of recommendations and guidance. However, organizations are not allowed to comply with recommendations or guidance only in order to claim that a report has been prepared in accordance with the GRI Standards.[24] Of course, businesses can choose not to apply the GRI Standards, but this is not very likely, since many large enterprises are already applying the existing GRI Standards. The fact that the definitions in this exposure draft are largely in line with Action 13 makes it all the more relevant to scrutinize the definitions used in Action 13.

2.4 *The Country-by-Country Report*

The country-by-country report comprises three tables. Table 1 sets out among others the (related party) revenues, profit (loss) before income tax, income tax paid, and number of FTEs for each country where a MNE is active. Although the discussion draft[25] on Action 13 contained the idea to include the relevant information, such as turnover and profit, not only for each country but also for each constituent entity, this idea was not upheld. That means that, if a

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19 OECD, *supra* n. 7, at 21.

20 Council Directive (EU) 2016/881 of 25 May 2016 amending Directive 2011/16/EU as regards mandatory automatic exchange of information in the field of taxation, OJ L 146/8 (3 June 2016). Since Directive 2016/881, in fact, leads to version 4 of the original Directive 2011/16/EU, it is also referred to as DAC 4.

21 European Commission, Proposal for a directive of the European Parliament and of the Council amending Directive 2013/34/EU as regards disclosure of income tax information by certain undertakings and branches, COM/2016/0198 final (12 Apr. 2016). *See also* European Commission press release, *European Commission Proposes Public Tax Transparency Rules for Multinationals* (12 Apr. 2016) http://europa.eu/rapid/press-release_IP-16-1349_en.htm (accessed 15 July 2019).

22 C. Driessen, *Shell belooft belastingtransparantie*, NRC (31 May 2019), https://www.nrc.nl/nieuws/2019/05/31/bijzondere-belofte-shell-om-steun-terug-te-winnen-a3962140 (accessed 15 July 2019).

23 Global Sustainability Standards Board, *Exposure Draft GRI Topic-specific Standard: Tax and Payments to Governments* (Mar. 2019), https://www.globalreporting.org/standards/media/2160/public-comment-form-exposure-draft-standard-for-tax-and-payments-to-governments.pdf (accessed 15 July 2019).

24 *Ibid.*, at 8. *See also* for more information Global Sustainability Standards Board, *GRI 101: Foundation 2016* (GRI 2018), https://www.globalreporting.org/standards/media/1036/gri-101-foundation-2016.pdf (accessed 15 July 2019).

25 OECD, *Public Consultation – Discussion Draft on Transfer Pricing Documentation and CbC Reporting* (OECD Publishing 30 Jan. 2014), https://www.oecd.org/ctp/transfer-pricing/discussion-draft-transfer-pricing-documentation.pdf (accessed 15 July 2019).

Figure 1 Model Template for the Country-by-Country Report – Tables 1, 2 and 3

Table 1. **Overview of allocation of income, taxes and business activities by tax jurisdiction**

Name of the MNE group: Fiscal year concerned: Currency used:										
Tax Jurisdiction	Revenues			Profit (Loss) before Income Tax	Income Tax Paid (on Cash Basis)	Income Tax Accrued – Current Year	Stated Capital	Accumulated Earnings	Number of Employees	Tangible Assets other than Cash and Cash Equivalents
	Unrelated Party	Related Party	Total							

Table 2. **List of all the Constituent Entities of the MNE group included in each aggregation per tax jurisdiction**

Name of the MNE group: Fiscal year concerned:															
			Main Business Activity(ies)												
Tax Jurisdiction	Constituent Entities Resident in the Tax Jurisdiction	Tax Jurisdiction of Organisation or Incorporation if Different from Tax Jurisdiction of Residence	Research and Development	Holding or Managing Intellectual Property	Purchasing or Procurement	Manufacturing or Production	Sales, Marketing or Distribution	Administrative, Management or Support Services	Provision of Services to Unrelated Parties	Internal Group Finance	Regulated Financial Services	Insurance	Holding Shares or Other Equity instruments	Dormant	Other[1]
	1.														
	2.														
	3.														
	1.														
	2.														
	3.														

1. Please specify the nature of the activity of the Constituent Entity in the "Additional Information" section.

Table 3. **Additional Information**

Name of the MNE group: Fiscal year concerned:
Please include any further brief information or explanation you consider necessary or that would facilitate the understanding of the compulsory information provided in the Country-by-Country Report.

multinational enterprise has multiple constituent entities in a specific country, only the total figures for that country should be included in the country-by-country report. Those total figures must be determined by way of aggregation, which means that transactions between constituent entities within one country are not eliminated and will, thus, lead to double counting. In contrast, note that in Table 2, the information is reported on an entity level, rather than on a country level. In Table 2, the 'main activity' is to be identified for each constituent entity. Finally, Table 3 provides space for free text. For a summary of the model template country-by-country report, see Figure 1.[26]

In the country-by-country report, the accounting figures are to be used. It is up to each multinational enterprise to decide what information is used as the basis for the figures. For example, the figures may be derived from consolidation reporting packages, from separate entity statutory financial statements, or from internal management accounts, as long as a consistent method is used and explained in Table 3. No adjustments need to be made for differences in accounting standards between the various tax jurisdictions either.[27] Although this is, of course, practical for businesses, it does impair the comparability of country-by-country reports.[28] Furthermore, there is the

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[26] Derived from the OECD Transfer Pricing Guidelines, *supra* n. 9, Annex III to Ch. V.

[27] S. Rasch, K. Mank & S. Tomson, *BEPS Action 13: An In-Depth Look at the Final Country-by-Country Reporting Requirements*, 24 Transfer Pricing Report 911 (2015), write that '*it is unclear why the OECD did not follow established international accounting standards. In addition, the OECD leaves a number of aspect–such as the source of the reported information–to a taxpayer's discretion. This will result in inconsistent implementation, a further limitation of the report's validity, and a considerable risk of double taxation if tax authorities use country-by-country reported data to make an assessment.*'

[28] *See also* M. Hanlon, *Country-by-Country Reporting and the International Allocation of Taxing Rights*, 72(4/5) Bull. for Int'l Tax'n (2018).

risk of cherry picking where businesses can choose which figures to use for which jurisdiction.

Currently, it is impossible to reconcile the country-by-country report on the one hand and the financial statements of a multinational enterprise on the other. This is mainly caused by the fact that the total figures are determined by way of aggregation and by using different data sources. In our opinion, it should be considered to make reconciliation between the country-by-country report and the financial statements mandatory. We feel that the administrative burden for companies is manageable. In addition, in the event of possible public CbCR in the future, it will be important for businesses as well to interpret the definitions the same way because, otherwise, businesses cannot be adequately compared. Since public CbCR will rather lead to 'naming and shaming', we believe it is crucial for all businesses to use the same reporting method. The aforementioned exposure draft of the Global Reporting Initiative on public CbCR also requires the use of the figures from the financial statements and, where these data do not reconcile, the organization is to provide an explanation for the difference.[29]

3 Definitions in the Country-by-Country Report

3.1 *Introduction*

Table 1 of the country-by-country report comprises several columns, including 'profit (loss) before income tax' and 'income tax accrued'. Both columns are important for purposes of ETR calculation. For that reason, we will discuss these terms as used in the country-by-country report in further detail in paragraphs 3.2 and 3.3.

As discussed above, multinational enterprises are required to prepare their country-by-country reports on an aggregated level. In paragraph 3.4, we will further discuss the consequences of the use of aggregation. We will also address the advantages of consolidation on a country level as an alternative for aggregation.

3.2 *Profit (Loss) Before Income Tax*

DAC 4 defines 'profit (loss) before income tax', in line with Action 13, as follows:

'*In the fifth column of the template, the reporting MNE shall report the sum of the profit (loss) before income tax for all the Constituent Entities resident for tax purposes in the relevant tax jurisdiction. The profit (loss) before income tax shall include all extraordinary income and expense items.*'

That definition does not clarify how dividends and share of earnings of other constituent entities, including revaluations and translation results, should be treated. The question comes down to whether it can be inferred from the definition of 'revenues' whether or not these items should be included in profit (loss) before income tax.

The definition of 'revenues' as set forth in DAC 4 reads as follows: *'Revenues shall include revenues from sales of inventory and properties, services, royalties, interest, premiums and any other amounts. Revenues shall exclude payments received from other Constituent Entities that are treated as dividends in the payer's tax jurisdiction.'* Unlike the definition of 'profit (loss) before income tax', this definition expressly states that dividends do not form part of the 'revenues'. This could lead to the conclusion that dividends, since they expressly do not form part of the revenues, are not part of the profit either. After all, profit is defined as the balance of income minus costs. Dividends should then not be included in the profit (loss) before income tax. However, another view is possible too. It could be argued that, since the definition of revenues expressly states that dividends do not form part of the 'revenues', while this is not expressly included in the definition of 'profit (loss) before income tax', it can be inferred that (apparently) dividends do form part of the 'profit (loss) before income tax'. It cannot be inferred from the foregoing how share of earnings of other constituent entities should be treated.

It was not until September 2018 that the OECD, in further guidance, addressed the question as to whether dividends and share of earnings of other constituent entities form part of the 'profit (loss) before income tax'.[30] In our opinion, however, this can hardly be called 'guidance'. In fact, stated is that jurisdictions are allowed flexibility how to treat the dividends received from other constituent entities in profit (loss) before income tax. In addition, it is mentioned that jurisdictions are encouraged to require their taxpayers to indicate in Table 3 whether dividends received from and share of earnings of other constituent entities are included in profit (loss) before income tax and, if so, for which jurisdictions. Note that the guidance does not mention that it should also be indicated in Table 3 how much dividend is included in the profit of each jurisdiction. This means that tax authorities (still) cannot make any analysis as to whether a deviating ETR is caused by (exempt) dividends and share of earnings of other constituent entities, or that there is a different cause.

In many countries, dividends and share of earnings of constituent entities are exempt or the underlying tax is set off, so that, effectively, the recipient does not pay any tax, or hardly so, on dividends and share of earnings of other constituent entities. Where dividends and (positive) share of earnings of other constituent entities are included in

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[29] Global Sustainability Standards Board, *supra* n. 23.

[30] OECD, *Guidance on the Implementation of Country-by-Country Reporting – BEPS Action 13* 13 (OECD Publishing 2018).

the profit (loss) before income tax, with no corresponding tax expense, the ETR will be low(er). If the sole cause of the lower ETR is the fact that dividends or share of earnings of constituent entities have been included in the profit (loss) before income tax, this should not lead to a 'red flag' in a risk analysis.

It might occur that Table 2 provides sufficient clarity as to whether there is a holding company, since the main business activity is to be ticked. If, subsequently, the ETR is low, it could easily be concluded that the profit (loss) before income tax and, thus, the ETR as reported in Table 1 have been impacted by dividends and/or share of earnings of other constituent entities. However, it is not that simple. Many multinational enterprises have multiple companies with various activities in the same country. Since it is Country-by-Country reporting, rather than Entity-by-Entity reporting, only one profit figure becomes visible in Table 1 for each country. This makes it impossible to make a good estimate as to whether the lower ETR was caused by dividends and/or share of earnings of other constituent entities, or whether there may have been other causes.

The exposure draft on Tax and Payments to Governments of the Global Reporting Initiative does not expressly mention whether dividends should be included in the profit (loss) before income tax.[31] Given the fact, however, that an explanation must be included if the profit (loss) before income tax according to the country-by-country reporting disclosure differs from the consolidated financial statements, and the consolidated financial statements eliminate all dividends of constituent entities, we are of the opinion that it can be inferred that dividends are not included in the profit before income tax. In our view, this is underlined by the fact that it is stated, in respect of revenues, that intra-group transactions within the same tax jurisdiction are not included in the disclosure. Reason for this is that aggregated revenues face the risk that local revenues are double-counted, which might create a misleading impression among investors and other stakeholders about the organization's scale of activities in a jurisdiction. This same argument, the risk of double counting, also applies where dividends are included in the profit. We will discuss this in further detail in paragraph 3.4.

3.3 *Income Tax Accrued – Current Year*

There are several differences between the 2014 draft CbCR template and the final template. The draft template proposed, in terms of taxes, only a column for 'income tax paid (on cash basis)'[32] and a column for 'total withholding tax paid'. In the final template, the 'income tax paid (on cash basis)' column has been combined with the 'total withholding tax paid' column, and a separate column has been included for 'income tax accrued'.

DAC 4 defines 'Income tax accrued (current year)', in line with Action 13, as follows:

'In the seventh column of the template, the reporting MNE shall report the sum of the accrued current tax expense recorded on taxable profits or losses of the year of reporting of all the Constituent Entities resident for tax purposes in the relevant tax jurisdiction. The current tax expense shall reflect only operations in the current year and shall not include deferred taxes or provisions for uncertain tax liabilities.'

We note that the translations for implementation in national law are not always entirely accurate. For example, the Dutch,[33] Belgian[34] as well as the Austrian[35] translations refer to 'income tax payables'. From that translation, it could be inferred that only the balance sheet item 'income tax payables' as at the end of the financial year is to be included in this column, rather than the profit and loss item 'accrued current tax expense'.

That uncertainty about this definition indeed exists, is shown by the fact that the OECD has included in further guidance that the amount in income tax accrued is independent of the question as to whether or not tax has been paid in that financial year (by way of a provisional assessment).[36] In that case the question arises whether the word 'accrued' adds anything to the definition. Note that the term 'accrued current tax expense' is not a term that is used in generally accepted accounting standards, which may also lead to different interpretations. After all, under generally accepted accounting standards, expenses are already based on the concept of accrual accounting. The question as to whether an item

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31 Global Sustainability Standards Board, *supra* n. 23.

32 Subdivided into a column for income tax paid (on cash basis) to (1) country of organization and (2) to all other countries.

33 The Dutch Regulations of the State Secretary for Finance, no. DB/2015/462M, Staatscourant 2015, 47457 (30 Dec. 2015) describe this as follows: *'In de zevende kolom van het model wordt door de uiteindelijkemoederentiteit de som van de nog te betalen belastinglasten van het onderhavige jaar die geboekt zijn op belastbare winsten of verliezen van het verslagleggingsjaar '*.

34 Belgium uses the following definition: *'In de zevende kolom van Tabel 1 van het landenrapport geeft de rapporterende entiteit de som op van de nog te betalen belastingen die geboekt zijn op belastbare winsten of verliezen van de weergegeven rapporteringsperiode '*. *See* Statement 275 CBC, Model van formulier zoals bedoeld in artikel 321/2, WIB92, https://financien.belgium.be/sites/default/files/downloads/126-landenrapport-20170608.pdf (accessed 15 July 2019).

35 Income tax accrued has been translated as *'Noch zu zahlende Ertragsteuer (laufendes Jahr)'*. *See* BMF, *Allgemeine Informationen – Verrechnungspreisdokumentations – gesetz (VPDG) – Country by Country Reporting (CbC)* (3 Sept. 2018), https://www.bmf.gv.at/egovernment/fon/fuer-softwarehersteller/BMF_Allgemeines_VPDG.pdf?6m2kz9 (accessed 15 July 2019).

36 OECD, *supra* n. 30, at 10. *See also* the further explanation in this respect by T. Meijer, S. Kerkvliet & B. van Stigt, *Country-by-Country Reporting – All Smoke and Mirrors or the BEPS Project's First Success?*, 24(6) Int'l Transfer Pricing J. 437 (2017).

constitutes costs incurred in a year is therefore independent of the question as to whether a payment was actually made in that year.

The question that arises is how carry-forward losses are to be treated. For example, the taxable profit may be positive, but the actual tax payable may be nil as a result of carry-forward losses. In such an event, is the income tax accrued nil? Or should this be based on the taxable profit before any loss compensation, so that the income tax accrued will be more than nil in the event of a positive taxable profit? We feel that the intentions of the OECD are unclear on this point. If we suppose that the OECD intended for the 'income tax accrued' to be nil where the taxable profit is set off against carry-forward losses, this would lead to an ETR that is also nil. However, the country-by-country report does not contain any indication of loss compensation so that an ETR of nil might incorrectly lead to a 'red flag'.[37]

Another question is whether the OECD has deliberately chosen to exclude deferred taxes from income tax accrued. Neither the discussion draft[38] nor the final report[39] provide any explanation in this respect. If we look at the differences between the 2014 draft CbCR template and the final template, it turns out that in the draft only the 'income tax paid (on cash basis)' and 'total withholding tax paid' were to be included, whereas the final template also includes the column for 'income tax accrued'. A reason for this could be that deferred taxes are based on expectations about the future while CbCR is strictly backward-looking.[40]

The public comments on the discussion draft of the Action 13 report show that Business At OECD (hereinafter: BIAC) did not have an unequivocal view on whether or not deferred taxes should be included in the CbCR template.[41] Subsequently, BIAC suggested to build in flexibility, so that businesses can choose whether to report the tax paid, the current tax expense, or the total tax expense. A condition is, however, that the information is presented consistently and the method is explained. In our opinion, the OECD has correctly decided not to adopt this recommendation. Businesses would then be able to choose whatever suits them best from a presentation perspective, and this would detract from the comparability of businesses.

Another comment on the discussion draft was submitted by Volvo AB.[42] Volvo writes – and in our opinion rightly so – that, since revenues and profit before income tax are based on the accounting figures, it would not make sense to just include the fiscal tax expense in the country-by-country report. Particularly in loss-making years, in which a carryback of taxes may be obtained, this would paint an incorrect picture. The same holds true for profit-making years, in which, as a result of loss carryforward, no tax is paid. According to Volvo, therefore, it would be best to report the total tax expense (both current and deferred).

The disadvantages of a very narrow definition of 'income tax accrued' that we see is that a deviating ETR may incorrectly be identified as a 'red flag', whereas the deviating ETR may also have been caused, for example, by deferred taxes, for a low ETR does not necessarily imply tax avoidance. The low ETR may also have been caused by temporary differences between the taxable and the accounting profit, for which deferred tax positions are included. One of the considerations in including only the current tax expense may have been that some businesses can postpone actual payment of taxes for a very long time (which becomes apparent in the deferred taxes), which may also be seen as a form of tax avoidance. We are of the opinion that the column for 'income tax paid (on cash basis)' makes it sufficiently clear whether tax is actually paid, for if a company reports a certain amount in 'income tax accrued' for multiple years without paying tax, questions might be raised.

Although the proposal of the Global Reporting Initiative[43] still links up to the definition of the OECD, so that deferred taxes and provisions for uncertain tax positions in the 'Income tax accrued' are to be eliminated, an explanation must be included stating the reasons for the difference between corporate tax accrued on profit/loss and the tax due if the statutory tax rate is applied to profit/loss before tax. The Global Reporting Initiative thus recognizes, in our opinion, that comparing the accounting profit with the fiscal tax expense will lead to differences and that an explanation of those differences is necessary for a proper understanding of the figures.

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[37] In this respect, *see also* Rasch, Mank & Tomson, *supra* n. 27. According to them, as a result of the fact that deferred taxes do not form part of the income tax accrued, it is not apparent whether low tax payments despite a potential high income result from the use of loss carryforwards as loss carryforwards have a significant impact on an entity's tax burden.

[38] OECD, *supra* n. 25.

[39] OECD, *supra* n. 7.

[40] In this respect, *see* Evers, Meier & Spengel, *supra* n. 5.

[41] OECD, *Public Comments Received Volume I, Letters A to C – Discussion Draft on Transfer Pricing Documentation and CbC Reporting* 108 (OECD Publishing 23 Feb. 2014), http://www.oecd.org/ctp/transfer-pricing/volume1.pdf (accessed 15 July 2019).

[42] *Ibid.*, at 120–121.

[43] Global Sustainability Standards Board, *supra* n. 23.

3.4 *Aggregation v. Consolidation*

BEPS Action 13 requires preparation of the country-by-country report on an aggregated level. This means that figures of all the companies in a country must be added up to arrive at the country-by-country figures. As a result, in the event of intra-group transactions in a certain country, the resulting turnover will be included in the country-by-country report several times. These transactions cannot be eliminated like in consolidated financial statements. The same holds true for the situation where dividend is included in the profit before tax and there are multiple holding companies that pass on such dividend to the ultimate holding company. As businesses are unaware of the concept of aggregation, this may also lead to errors in the country-by-country report.[44]

As discussed in paragraph 3.2, dividends are expressly excluded from the 'revenues'. The reason not to include dividends in revenues is to avoid double counting in the revenues (for example where several successive holding companies distribute dividend within the same country). The discussion draft[45] of the report on Action 13 does not contain the sentence showing that dividends do not form part of the revenues. In response to that discussion draft, BIAC writes as follows[46]:

59. When a "bottom-up" approach is adopted, dividends received from MNE group members will need to be excluded from revenues and from income before taxes to avoid counting the same income multiple times where holding companies are used.'

This shows that BIAC recognizes the risk of double counting where dividends are included in both revenues and profit (loss) before income tax. The adjusted definition of 'revenues' may be based on this comment. In our opinion, based on our foregoing arguments, and in line with the definition of 'revenues', the definition of 'profit (loss) before income tax' should also have expressly stated that dividends do not form part of the profit (loss) before income tax. Incidentally, this is true not only for dividends but also for share of earnings of other constituent entities including revaluations of constituent entities, for those, too, will lead to double counting if the interests in constituent entities are held by multiple successive intermediate holding companies.

The counterpart of aggregation is consolidation on a country level, in which we see great advantages over aggregation. By consolidating figures on a country level, transactions between related parties within the same country are eliminated, while transactions between related parties that are active in different countries are still visible. This avoids double counting, while a high level risk analysis of transfer pricing risks can still be carried out. This is in accordance with the proposal as set forth in the exposure draft of the Global Reporting Initiative.[47]

4 Calculation of the Effective Tax Rate

4.1 *Introduction*

The ETR is the counterpart of the statutory tax rate. The statutory tax rate is the general tax rate which is applicable in a specific country. The ETR is the ratio between the accounting tax expense and the profit before tax. As discussed earlier in this article, a low ETR is an indication of possible tax avoidance,[48] particularly if it deviates from the statutory tax rate.

In this section, we will discuss the calculation of the ETR and the differences between calculation based on the country-by-country report and calculation based on International Accounting Standard 12 (hereinafter: IAS 12). IAS 12 is part of the IFRS, which are mandatory for European listed companies.

4.2 *Effective Tax Rate Calculated Based on the Country-by-Country Report*

Based on the country-by-country report, the ETR can be calculated as follows:

$$ETR(CbC\ Report) = \frac{Income\,tax\,accrued\,(Current\ year)}{Profit\,(loss)\,before\,income\,tax}$$

The OECD Handbook on Effective Tax Risk Assessment does not provide a general definition of the ETR. It merely describes that the ETR can – for example – be calculated as 'income tax accrued (current year)'/'profit (loss) before income tax'.[49] The fact that the handbook explicitly uses the words 'for example' indicates that the

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[44] In this respect, *see* Hanlon, *supra* n. 28 and M. van Werkhoven, *Country-by-Country Reporting: implementatie door de ogen van de bedrijfsfiscalist*, Weekblad Fiscaal Recht 159 (2017).

[45] OECD, *supra* n. 25.

[46] OECD, *supra* n. 41, at 108.

[47] Global Sustainability Standards Board, *supra* n. 23, which reads as follows: '*Intra-group transactions within the same tax jurisdiction are not included in this disclosure, but the organization can report this information separately.*'

[48] The ETR is, particularly in economic sciences, a much studied subject. *See* S. D. Dyreng, M. Hanlon, E. L. Maydew & J. R. Thornock, *Changes in Corporate Effective Tax Rates Over the Past 25 Years*, 124(3) J. of Fin. Econ. 441–463 (2017), and the literature referred to in their article. In tax sciences, the ETR has been studied to a limited extent only. *See* inter alia J. P. J. Witjes, T. L. M. Verdoes, D. H. van Offeren & J. Scholten, *De effectieve belastingdruk wordt niet alleen bepaald door wet- en regelgeving*, Weekblad Fiscaal Recht 1390 (2013); Stichting Onderzoek Multinationale Ondernemingen (SOMO), *Grote Bedrijven, Kleine Lasten – Een onderzoek naar de effectieve belastingdruk voor grote Nederlandse bedrijven* (Mar. 2016); G. H. de Soeten & R. H. M. Roumen, *Het Nederlands fiscaal vestigingsklimaat: storm op komst!?,* Weekblad Fiscaal Recht 742 (2011).

[49] OECD, *supra* n. 12, at 37.

ETR can also be calculated in a different way. In our opinion, the only other way is as follows: 'income tax paid (on cash basis)'/'profit (loss) before income tax'. We are of the opinion that the cash-based calculation of the ETR is not effective for purposes of detection of possible tax avoidance. Since the income tax paid is independent of the profit generated in that year (after all, there may have been prepayments, or tax refunds relating to previous financial years), the income tax paid cannot at all be compared with the profit for that year, and the ratio between the two terms is, in our view, meaningless.

4.3 *Effective Tax Rate According to IAS 12*

IAS 12 provides a further explanation of the valuation and presentation of 'Income taxes' in the financial statements.

IAS 12.86 defines the ETR as follows: *'The average effective tax rate is the tax expense (income) divided by the accounting profit.'* Represented as a formula:

$$ETR(IAS12) = \frac{Tax\,expense(income)}{Profit(loss)\,before\,income\,tax}$$

'Tax expense (income)' is defined as follows (IAS 12.5): *'the aggregate amount included in the determination of profit or loss for the period in respect of current tax and deferred tax.'* This shows that the tax expense comprises both the current tax and the deferred tax expense. For the sake of completeness, the definitions of current and deferred tax (IAS 12.5) are as follows:

'Current tax is the amount of income taxes payable (recoverable) in respect of the taxable profit (tax loss) for a period.

Deferred tax liabilities are the amounts of income taxes payable in future periods in respect of taxable temporary differences.'

The existence or non-existence of any temporary differences will not affect the ETR (calculated on the basis of IFRS) for the relevant period. This may be different if the tax rate changes while there is a difference between the accounting profit and the taxable income. Permanent differences, such as non-deductible, or only partially deductible, interest expenses, exempt dividends, or a patent box, do, however, create differences between the nominal tax rate and the ETR. Since a permanent difference is not temporary, no provision for deferred taxes can be made in this respect.

IAS 12 describes the explanation that is to be included in the financial statements in respect of the tax expense. Without trying to be exhaustive, we note that the list in IAS 12.80 shows that the tax expense does not exclusively regard the current tax expense specific for the relevant financial year, but also *'any adjustments recognized in the period for current tax of prior periods'*.

IAS 12 does not expressly discuss provisions for uncertain tax liabilities, except that an explanation must be given in accordance with IAS 37 where applicable (see IAS 12.88).[50] Costs as a result of making a provision for uncertain tax liabilities are recognized in the financial statements under the heading of 'income tax expense'.

According to IAS 12.58, the tax expenses (or tax income) relating to income (expenses) that are recognized outside profit or loss (under the heading of Other Comprehensive Income[51] (OCI) or directly as shareholders' equity) are also recognized outside profit or loss.

IAS 12 does not expressly discuss the question of the extent to which withholding taxes form part of the tax expense. IAS 12.65A does, however, provide that, if withholding tax is levied in respect of dividend, that withholding tax must be charged to the shareholders' equity. It would not be appropriate if withholding tax withheld, which, in fact, is costs for the recipient of the dividend, was to be recognized as tax expenses on the part of the distributor of the dividend. The question that arises, however, is whether the withholding tax withheld forms part of the recipient's tax expense. IAS 12.2 provides that *'income taxes include all domestic and foreign taxes which are based on taxable profits'*. In order to determine whether withholding tax forms part of the tax expense, therefore, the withholding tax must be based on taxable profits.

4.4 *Differences*

In the foregoing sections, we focused on the method of calculating the ETR on the basis of the country-by-country report, and the differences with the ETR as calculated on the basis of IAS 12. Figure 2 represents the differences between the two types of ETR.

The main difference between both ETR-calculations is that the ETR on the basis of IAS 12 takes account of deferred taxes. This expresses the amount in income tax that businesses will pay or receive at some point on the result obtained. This does not regard the tax payable in the relevant year, but the tax expense attributable to that year (which may not be paid until a subsequent year). If, for example, as a result of accelerated tax depreciation, the current tax in any given year is very low, this is adjusted in the ETR on the basis of IAS 12 by way of a deferred tax expense recognized for that

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50 Relevant in this respect is the fact that, in 2017, the IFRS Interpretations Committee issued an Interpretation Guidance (IFRIC 23) relating to uncertainty as to income tax treatments.

51 Certain income and expenses must, according to IFRS, be recognized directly under shareholders' equity or under Other Comprehensive Income. Any corresponding tax expenses or income should, therefore, also be recognized directly under shareholders' equity or under Other Comprehensive Income. For examples, *see* IAS 12.62 and IAS 12.62A.

Figure 2 Differences Between ETR Based on IAS 12 and Based on the Country-by-Country Report

Part of the tax expense:	ETR (IAS 12)	ETR (Country-by-Country Report)
Current tax expense	Yes	Yes
Deferred tax expense	Yes	No
Changes in provisions for uncertain tax liabilities	Yes	No
Any adjustments recognised in the period for current tax of prior periods	Yes	No
Tax effects on transactions and other events recognised outside profit or loss (either in other comprehensive income or directly in equity)	No	Not mentioned
Withholding taxes	Yes, if based on taxable profits	Not mentioned

temporary difference. Without any permanent differences, the ETR on the basis of IAS 12 will be in line with the statutory tax rate. As only current taxes are taken into account, the ETR on the basis of the country-by-country report may be higher or lower than the statutory tax rate as a result of differences between accounting and tax depreciation periods, loss carryforward or other temporary differences. By allowing deferred taxes also to form part of 'income tax accrued', in our view, a much better understanding will be obtained of any permanent differences.[52]

Another major difference between the two calculation methods is the fact that (changes in) provisions for uncertain tax liabilities do not form part of 'income tax accrued' in the country-by-country report, but they do form part of the 'income tax expense' under IAS 12. This means that the ETR calculated on the basis of the country-by-country report may also deviate from the ETR on the basis of IAS 12 in this respect. As a result of the fact that (changes in) provisions for uncertain tax liabilities do not form part of 'income tax accrued', this links up only to the actual taxable profit reported. If, in any subsequent year, a pending discussion with the tax authorities should be decided resulting in adjustment of the assessment, that change will not form part of the 'income tax accrued'. This is the result of the fact that the definition of 'income tax accrued' expressly indicates that only the tax expense recorded on the profit of *the current year* can be included – i.e. not the adjustment to the assessment in any subsequent year. The additional tax expense will, however, lead to a higher 'income tax paid (on cash basis)' in such subsequent year.

In our opinion, expressly excluding (changes in) provisions for uncertain tax liabilities from 'income tax accrued' does not have any added value. Since these changes will no longer have to be manually removed from the 'income tax accrued', this will probably lead to fewer errors in country-by-country reports. In addition, information on provisions for uncertain tax positions may indicate cases where a multinational enterprise is taking an aggressive tax position and may ultimately pay more tax in a jurisdiction. We do not see any great risks in the subjectivity surrounding the question of whether or not to make a provision for uncertain tax liabilities. A provision can only be made if a taxpayer deems the chance that it will have to pay tax greater than the chance that it will not have to pay tax. This assessment will nearly always have to be verified by an external auditor, so that management cannot simply make a provision.

In the following section, we will discuss in further detail the question as to whether the ETR calculated on the basis of the country-by-country report provides sufficient insight to detect possible transfer pricing risks. This question poses itself particularly given the identified differences between the ETR calculated on the basis of the country-by-country report and the ETR calculated on the basis of IAS 12.

5 Detection of Possible Tax Avoidance Based on a Deviating ETR

5.1 *Introduction*

In this section, we will analyse the extent to which possible tax avoidance can be detected based on a deviating ETR, given the interest that various publications have attached to the ETR as a means to detect possible tax avoidance. We will do so on the basis of a fictitious country-by-country report, so that we can give a clearer picture of the advantages and disadvantages of the existing definitions of 'income tax accrued' and 'profit (loss) before income tax'.

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52 M.A. Grau Ruiz, *Country-by-Country Reporting: The Primary Concerns Raised by a Dynamic Approach*, 68(10) Bull. for Int'l Tax'n (2014), also recognizes this and indicates that, in order to resolve this problem, the template could include a reference to the tax incentives used and their justification.

When working out the case, we will focus on possible transfer pricing risks,[53] for studies show that transfer pricing, in addition to '*thin capitalization*', are the '*primary drivers of tax avoidance*'.[54] Other studies also show that, in addition to debt financing, transfer pricing in general and the licensing of intellectual property in particular are the most important channels for relocating profits.[55] Paragraph 5.25 of the OECD Transfer Pricing Guidelines expressly states the objectives of country-by-country reporting. One of those objectives is to assess substantial transfer pricing risks. This means that the country-by-country report is to provide insight into whether related parties do business on arm's length terms.[56]

5.2 *The Country-by-Country Report in Relation to the Arm's Length Principle*

Hanlon[57] is of the opinion that CbCR will lead to a '*clear and well-acknowledged disconnect*' with the arm's length principle, since taxation and transfer pricing rules are not based on formulas, like in '*formulary apportionment*', nor on the basis of the degree of economic activity. Hanlon writes[58]:

'MNEs are taxed using arm's length transfer pricing principles. However, CbyC reporting will require them to gather and report data based on where the underlying economic activity is located. There is clearly a disconnect between the CbyC data and the arm's length principle transfer pricing rules: CbyC data will not provide direct information about whether an arm's length price was employed. Requiring CbyC reporting while taxing using the arm's length principle will potentially lead to a great deal of uncertainty and exposure to tax claims for MNEs.'

We do not share Hanlon's opinion. The arm's length principle is based on the concept of value creation. Where value is created, there is, indeed, not (always) a one-on-one relation to turnover, assets and number of employees. A high or low profit in combination with a high or low turnover/asset value/number of employees may be eye-catching based on the country-by-country report, but may still be in accordance with the arm's length principle. We feel that Hanlon is forgetting the value of Table 2. That table contains the main activities of a company in a specific country. In addition, the country-by-country report should be interpreted in conjunction with the master file and the local file. Finally, it should be remembered that the country-by-country report does not determine whether there is tax avoidance, but is merely a means to detect possible risks.

5.3 *Detection of Transfer Pricing Risks in the Country-by-Country Report*

Given the importance of detecting transfer pricing risks, and given the fact that one of the objectives of the country-by-country report is to detect transfer pricing risks, in this section, we will further discuss the question of the extent to which the country-by-country report provides sufficient insight in that respect. We will do so based on Table 1 of a fictitious country-by-country report. That fictitious country-by-country report is represented in Figure 3.

The ETR column states the effective tax rate as it can be calculated based on the country-by-country report (income tax accrued (current year)/profit (loss) before income tax). Note that the average ETR is only 12%, which is caused by four major peaks.

Strikingly, in Country F, a large profit is generated without any taxes being paid there. This can be explained by the fact that this country does not impose corporate income tax. The question is whether too much profit is allocated to Country F. Another question is what activities are carried out (as stated in Table 2) and how many employees are working there. The background to these questions is the risk as also included in the Handbook on Effective Tax Risk Assessment,[59] i.e. the risk that '*There are jurisdictions with significant profits but little substantial activity*'. The country-by-country report contains information on the turnover (Table 1), profit (Table 1), and activities (Table 2). That information may be used to analyse whether a multinational enterprise may have a disproportionately high profit in one specific country as compared to the scope and type of activities in another country. If that profit is mainly generated by related party transactions, which should become evident from high

Notes

[53] For a critical assessment of the role played by transfer pricing rules in international tax avoidance, *see* P. Sikka & H. C. Willmott, *The Dark Side of Transfer Pricing: Its Role in Tax Avoidance and Wealth Retentiveness*, 21(4) Critical Perspectives on Accounting 342–356 (2010).

[54] G. Taylor & G. Richardson, *International Corporate Tax Avoidance Practices: Evidence from Australian Firms*, 47(4) The Int'l J. of Accounting 469–496 (2012). Their sample comprised Australian listed companies for the years 2006–2009.

[55] Evers, Meier & Spengel, *supra* n. 5.

[56] *See* Art. 9 of both the OECD Model Convention and the UN Model Convention. In line with Art. 9 of the OECD Model Convention, the arm's length principle is included in various bilateral treaties. *See also* OECD Transfer Pricing Guidelines, *supra* n. 9, para. 1.6. The objective of the arm's length principle is to work out in further detail the pricing of intra-group transactions, so as to create a large degree of equality in the tax treatment of related and independent companies. The arm's length principle should, therefore, contribute to combating tax avoidance.

[57] Hanlon, *supra* n. 28.

[58] Hanlon, *supra* n. 28, at 18–19.

[59] OECD, *supra* n. 12, at 38–39.

Figure 3 Fictitious Country-by-Country Report (Table 1) x EUR 1 Million.

Country	Unrelated party revenues	Related party revenues	Total revenues	Profit (loss) before income tax	Income tax accrued (current year)	ETR	Statutory tax rate
Country A	€ 1,225	€ 55	€ 1,280	€ 500	€ 75	15%	25%
Country B	€ 515	€ 100	€ 615	€ 100	€ 27	27%	27%
Country C	€ 110	€ 55	€ 165	€ 15	€ 4	26%	26%
Country D	€ 542	€ 300	€ 842	€ 490	€ 49	10%	30%
Country E	€ 630	€ 71	€ 701	€ 75	€ 4	5%	12.5%
Country F	€ 0	€ 200	€ 200	€ 190	€ 0	0%	0%
Total	€ 3,022	€ 781	€ 3,803	€ 1,370	€ 159	12%	

related party revenues in that country, this could mean that the profit may have been (artificially) transferred to that country. Since Figure 3 shows that the profit in Country F is fully generated by related party transactions (there are no unrelated party transactions whatsoever), chances are that there has been an artificial transfer of profits to a low-tax jurisdiction.

In the example, Country A, the country where the fictitious ultimate parent entity is based, has an ETR of 15% and a statutory tax rate of 25%. The question is whether the low ETR is caused by a permanent difference, such as a patent box or a possible exemption of dividends, or is caused by temporary differences for which a provision for deferred tax liabilities has been made. The country-by-country report does not make this transparent.

Country D has a strikingly low ETR of 10% as well. The same holds true for Country E, with an ETR of 5%, whereas the statutory tax rate in Country E is 12.5%. Here, too, we can only guess as to the causes. A possible cause may be the existence of significant deferred taxes (for example because of differences between the accounting and tax depreciation of assets). Furthermore, there may be a lower fiscal tax expense because of the application of offsettable losses.

Finally, the question is whether, in the countries where an ETR of around 25% is reported, there is no transfer pricing risk. Countries B and C have an ETR of 27% and 26%, respectively. The operating margin (profit/total turnover) in these countries is, however, substantially different. The operating margin in Country B is (100/615 =) 16.2%. The operating margin in Country C is (15/165 =) 9.1%. The question is whether this can be explained. Perhaps Country B receives a too high (non-arm's-length) payment, which may be at the expense of the profit of the ultimate parent entity in Country A.

With the foregoing analysis, we have tried to make clear that a low ETR does not necessarily mean possible tax avoidance as a result of an incorrect application of transfer pricing. Incidentally, this is in line with what the OECD writes in its Handbook on Effective Tax Risk Assessment.[60] The OECD fails, however, to recognize that a deviating ETR may also be caused by the narrow definition of 'income tax accrued'. Including deferred taxes in income tax accrued would in any event rule out the possibility of a deviating ETR being caused by temporary differences. This means that permanent differences can be better detected. In addition, as shown by this analysis, the ETR cannot be assumed to be reliable if it is unclear whether dividends are included in the 'profit (loss) before income tax'. Therefore, we conclude that the value of the ETR, based on the existing definitions in the country-by-country report, for detecting incorrect application of transfer pricing is only of minor importance.

What is also striking is the restriction of the country-by-country report because it does not contain any column for related party costs. Nor does the country-by-country report provide any insight into individual related party transactions.[61] The current country-by-country report does show where profits end up, but we can only guess as to the jurisdictions that have made payments that may lead to disproportionately high profits in low-tax jurisdictions. Of course, the objective of the country-by-country report is to carry out high level risk analyses,[62] but that should not lead to multinational enterprises being burdened with questions that would not have been necessary if additional information had been included in the country-by-country report. On this point, too, we feel that an expansion of the country-by-country report should be considered.

Notes

[60] OECD, *supra* n. 12, para. 61: '*The simple fact that a group has a low effective tax rate in a particular jurisdiction does not mean that the group is engaged in BEPS. (…) a number of jurisdictions have tax regimes which provide for a lower rate of tax on certain forms of income but which are not harmful.*'

[61] Brauner, *supra* n. 16, at 77, writes in this respect that current arm's length based transfer pricing rules apply exclusively to transactions, and therefore only in rare circumstances would the information from the CbC report be useful under the current rules.

[62] The OECD emphasises in the OECD Transfer Pricing Guidelines, *supra* n. 9, para. 5.25, that the high-level information provided by the CbC report '*on its own does not constitute conclusive evidence that transfer prices are or are not appropriate*'.

6 Conclusions

We are of the opinion that the existence of CbCR is a major step towards curbing tax avoidance. For tax authorities, the country-by-country report is a useful means to detect possible tax avoidance by providing insight into a multinational enterprise's global activities and profit allocation. As businesses are required to report where they generate profits, they may be more readily inclined to dismantle aggressive tax structures and not to set up new ones, also to avoid discussions with the tax authorities in the various countries.

However, this does not mean that the design of the country-by-country report is beyond criticism. Both for businesses and for the tax authorities, it is important that the objective envisaged by the country-by-country report is achieved, since an increasing administrative burden is imposed on businesses. For tax authorities it is important to be able to use their capacity as efficiently and effectively as possible. For that reason, it is important that the country-by-country report contribute to the detection of possible tax avoidance to the maximum extent possible, which, in our opinion, is not quite the case yet. As a result of the existing definitions of 'profit (loss) before income tax' and 'income tax accrued', based on which the ETR is calculated, we feel that the country-by-country report is inadequate for the objective set. The definitions should be adjusted, so that the ETR can be better used for risk analyses.

With the existing definition of 'profit (loss) before income tax', dividends and share of earnings of other constituent entities may be double-counted in the sum of the profit for a tax jurisdiction due to the required aggregation (in combination with multiple intermediate holding companies in one and the same country). It would seem evident that double-counting dividends and share of earnings of other constituent entities would render a pure risk analysis impossible. Therefore, we would propose an adjustment to the effect that, for the future, consolidation rather than aggregation is used on a country level. Furthermore, we would propose to eliminate dividends and share of earnings of other constituent entities from the 'profit (loss) before income tax'. We feel that, for multinational enterprises, the elimination of dividends and share of earnings of other constituent entities will be merely a limited exercise, as that elimination also had to be effected when preparing the consolidated financial statements.

In our opinion, 'income tax accrued' should link up to the definition of 'income tax expense' as included in IAS 12. In order to avoid any ambiquity, the name of the definition of 'Income tax accrued (current year)' should be adjusted to 'Income tax expense'. This means that both deferred taxes and changes in provisions for uncertain tax liabilities will no longer be eliminated. By linking up to the definition of 'income tax expense' as included in IAS 12, any adjustments to the current tax that relate to previous financial years will be included in 'income tax expense' as well. We expect that these adjustments will not materially impact the risk analysis. Should there still be a material adjustment to the current tax, a company may also explain the deviating ETR in Table 3. The advantage of not eliminating these adjustments is that there is a direct reconciliation between the financial statements and the country-by-country report. By linking up to IAS 12, the existing uncertainty as to how to treat loss carryforward in the calculation of 'income tax accrued' will be resolved, since (changes in) deferred tax assets also form part of 'income tax expense'. We note that, after the adjustments proposed by us, there will still be sufficient insight into the tax actually paid. After all, that is what the column for 'income tax paid (on cash basis)' in the table is for.

At this point, it is impossible to reconcile the country-by-country report and the financial statements of a multinational enterprise, on the one hand because of the use of aggregation rather than consolidation, and on the other hand as a result of the (permitted) use of different data sources. We recommend reconciliation of the country-by-country report and the consolidated financial statements, in line with the proposal of the Global Reporting Initiative. That way, tax authorities will also be better equipped to determine whether the country-by-country report filed is complete.

We can imagine that the growing public pressure will cause more and more businesses (voluntarily or involuntarily) to switch to public country-by-country reporting. In that case, too, it will be important to use accurate definitions and to link up to the (audited) consolidated financial statements for accounting purposes where possible.